

Employing in Spain

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable convenio colectivo (sector agreement)
- **Monthly payroll** — salary payments in EUR, itemised nóminas, 2 extra payments per year (pagas extraordinarias)
- **Tax withholding** — IRPF retenciones calculated and remitted quarterly/annually
- **Seguridad Social** — the full employer/employee social security contribution stack
- **Leave and termination management** — notice periods, entitlements and severance (indemnización) guidance

Employment Conditions

Contracts & Probation

Spain presumes indefinite contracts by default, and the applicable convenio colectivo frequently sets pay floors above the SMI along with role-specific terms. Probation length is capped by the Workers' Statute unless the convenio sets a different figure.

Item	Detail	Legal Basis
Probation (qualified technicians)	Up to 6 months	Workers' Statute (Estatuto de los Trabajadores)
Probation (other employees)	Up to 2 months (6 months for companies with <25 employees)	Workers' Statute
Convenio colectivo	May set higher pay floors and different terms than statutory minimums	Sector-specific collective bargaining

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	40 hours/week	Workers' Statute
Overtime cap	80 hours/year (unless the convenio permits more)	Workers' Statute
Time recording	Mandatory daily clock-in/out system for all employees	Royal Decree-Law 8/2019

Minimum Wage & Social Security (2026)

Measure	Rate	Notes
SMI (Salario Mínimo Interprofesional)	€1,221/month in 14 payments (€17,094/year)	+3.1% for 2026, retroactive from 1 January; exempt from IRPF
Employer Social Security contribution	30.65% of contribution base	Plus a variable occupational accident rate (e.g. ~1.5% for office work)
Employee Social Security contribution	6.5% of contribution base	Varies slightly by contract type
Maximum contribution base	€5,101.20/month	Employer contributions do not increase beyond this level

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 30 calendar days/year (22 working days)	Employer	Many convenios offer more
Extra Payments (Pagas Extraordinarias)	2 additional full-month payments per year	Employer	Typically paid in July and December, or pro-rated across 12 months if agreed
Maternity/Birth Leave	16 weeks (each parent, since 2021 equalisation)	Social Security (100% of contribution base)	6 weeks mandatory immediately after birth
Sick Leave	Employer pays days 4–15, Social Security thereafter	Employer (days 4–15) + Social Security	First 3 days generally unpaid unless the convenio states otherwise

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Social Security employer contribution (30.65%)	\$919.50	30.65%
Occupational accident insurance (illustrative, 1.5%)	\$45.00	1.50%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,564.50	~152.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Spain's pagas extraordinarias (2 extra monthly payments/year) are a genuine additional annual cost, often pro-rated into the monthly figure by employers rather than paid as lump sums — confirm the approach for the specific role. Employee deductions (withheld separately) include the 6.5% Social Security share and IRPF withholding (retenciones).

Income Tax (IRPF, 2026)

Spain's IRPF is split between state and autonomous community rates, so effective rates vary by region — figures below are combined/average.

Taxable Income (EUR, approx.)	Combined Rate
Up to ~€12,450	19%
~€12,450 – €20,200	24%
~€20,200 – €35,200	30%
~€35,200 – €60,000	37%
~€60,000 – €300,000	45%
Above €300,000	47%

Workers earning the SMI (€17,094/year or below) are fully exempt from IRPF, though Social Security contributions still apply.

Termination & Separation

Notice & Severance

Dismissal Type	Notice	Severance (Indemnización)
Objective dismissal (economic/redundancy, "fair")	15 days	20 days' salary per year of service, capped at 12 months
Unfair dismissal (despido improcedente)	N/A — compensation-based	33 days' salary per year of service, capped at 24 months (contracts from Feb 2012 onward)
Fixed-term contract expiry	N/A	Proportional compensation, typically 12 days' salary per year of service

★ HERO TIP

Spanish labour courts are known to favour employee claims, and the presumption of indefinite employment is strong — even genuine fixed-term or project-based arrangements can be reclassified if not properly documented. Foreign employers frequently underestimate this exposure; always route Spanish terminations through your HeroForce EOR before issuing notice.

Public Holidays 2026 (National)

Spain observes around 9–10 national public holidays, plus 2 additional regional/local holidays that vary by autonomous community and municipality — always confirm the employee's specific location.

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
3 April	Good Friday	National
1 May	Labour Day	National
15 August	Assumption Day	National
12 October	National Day (Fiesta Nacional de España)	National
1 November	All Saints' Day	National
6 December	Constitution Day	National
8 December	Immaculate Conception	National
25 December	Christmas Day	National

Each autonomous community adds 2 further regional holidays (e.g. Sant Jordi in Catalonia, San Isidro in Madrid) — confirm against the employee's specific region and municipality.

Ready to hire in Spain?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Spain employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).